India's Trade Policy Challenges

GS III

- International trade allows countries to sell goods and services across borders, creating markets for businesses and employment opportunities. When a major trading partner increases **import tariffs**, foreign buyers may face higher prices, reducing the competitiveness of affected exports.

- India's economic relationship with the United States extends beyond merchandise exports. Information technology services, business activities and **professional mobility** also contribute to bilateral economic ties. Stricter visa policies can increase costs and create uncertainty for companies employing Indian professionals abroad.

- Trade negotiations become difficult when countries link market access with unrelated political or strategic demands. India must consider how concessions on tariffs, energy purchases or other economic matters could affect domestic producers, consumers and its freedom to make **independent policy decisions**.

- Economic resilience requires reducing excessive dependence on individual export markets while strengthening domestic competitiveness. **Diversifying trade partnerships**, improving production capabilities and maintaining diplomatic engagement can help India manage external policy shocks without abandoning important national interests.

Uncertain trade and immigration policies require India to balance economic cooperation with strategic autonomy, stronger domestic competitiveness and diversified international partnerships.